

ECONOMICS PAPER 2
(Mock Test 41)
Question-Answer Book

Time allowed: 1 hour 55 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13 and 15.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
------------------	--	--	--	--	--	--	--	--	--

Marker's Use Only	
Marker No.	
Question No.	Marks
1	
2	
3	
4	
5	
6	
7	
8	
9	
Total	

Section A (34 marks)

1. Kary received two movie tickets as a gift, which cannot be resold.

(a) Explain whether the two movie tickets are economic goods. (2 marks)

(b) Explain why Kary does not has a full set of private property rights over the two movie tickets. (2 marks)

2. The following is the charging arrangement of a courier company.

First 1 kg (Parcels weighing less than 1 kg will be charged at this rate)	\$20
Each subsequent kg (Parcels weighing more than 1 kg)	\$5

Suppose the courier company decides to increase the charge for the first 1 kg of parcels by \$5.

According to the law of demand, explain the effect of the increase in price on the average weight of parcels. (4 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

3. A ballet school decides to expand its business by opening a branch in another district.

- (a) Explain what type of expansion the above case is? State **TWO** advantages of this expansion for the ballet school. (4 marks)
- (b) Suppose the ballet school hired a Korean dance teacher for 3 months. The teacher returned to Korea afterwards. Explain whether the salary received by the teacher will be included in the calculation of Hong Kong's gross national income (GNI). (3 marks)
- (c) 'After expanding its business, the average production cost of the ballet school may increase.' Explain whether the statement is a positive statement or a normative statement. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

4. Mr. Cheung is considering whether to open a frozen food store in the form of a sole proprietorship or a private limited company. He finally chooses to open the store in the form of a private limited company.

(a) Give **TWO** reasons to explain Mr. Cheung's choice. (2 marks)

(b) Explain with **TWO** reasons why the market structure of frozen food stores in Hong Kong is **NOT** perfectly competitive. (4 marks)

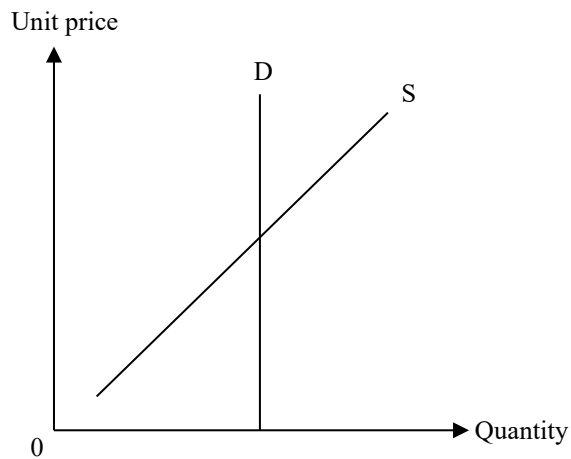
Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

5. Figure 1 shows the supply-demand diagram for a good.

Figure 1



Suppose the government decides to provide a per-unit subsidy to the good.

- With the aid of Figure 1, explain how the provision of the per-unit subsidy will affect consumers' total expenditure. (5 marks)
- Indicate the share of the subsidy in Figure 1. How are the shares of the subsidy distributed between producers and consumers? (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- © 2025 Aristo Educational Press Ltd.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION A

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- Answers written in the margins will not be marked.

-
- This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

HKDSE-ECON 2-8 (Mock Test 41)

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

8. The following table shows the balance sheet of a banking system. The banks hold an excess reserve of \$500 million and the public hold \$200 million cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	3,000	Deposits	10,000
Loans	7,000		

- (a) Calculate the required reserve ratio for the above banking system. (1 mark)

Suppose the central bank reduces the required reserve ratio by 5 percentage points.

- (b) Suppose the banks no longer hold excess reserves and the amount of cash held in public remains unchanged. Complete the following balance sheet after the deposit creation process is completed.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	_____	Deposits	_____
Loans	_____		

(3 marks)

- (c) Explain the short run effects of a reduction in the required reserve ratio on the output and price levels of the economy. (5 marks)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

9. In Hong Kong, the Northwest New Territories and the urban area are mainly connected by Tuen Mun Road and Tai Lam Tunnel. The traffic congestion on Tuen Mun Road has long been a concern of the public. The HKSAR Government has taken back the franchise of the Tai Lam Tunnel and has carried out a series of renewal arrangements.

Source A: News extract about the HKSAR Government's takeover of the Tai Lam Tunnel

The franchise of the company responsible for operating Tai Lam Tunnel expired on 31 May 2025. The Tai Lam Tunnel has been handed over to the government, marking the end of its private operation phase.

After the government took back the Tai Lam Tunnel, it promptly lowered the tunnel tolls and implemented a time-varying toll plan. For private cars, the previous toll was \$58.

The time-varying toll plan for private cars is now as follows:

Sundays and general holidays	Mondays to Saturdays
\$18	Peak time slot \$45
	Normal time slot \$30
	Off-peak time slot \$18

At the same time, the government implemented HKeToll, a free-flow tolling service, in Tai Lam Tunnel, hoping that the new arrangements will attract more vehicles to use the tunnel and fully utilise its remaining capacity, as well as relieve the traffic pressure on Tuen Mun Road, which serves as an alternative route.

(Source: various newspapers)

Source B: Introduction to HKeToll

HKeToll is a free-flow tolling system that allows drivers to pay tolls remotely, without having to stop and queue up at toll booths for payments when passing through the tunnel, reducing queuing time.

When a vehicle passes through the toll point of the 'HKeToll' tunnel, the system will automatically detect the vehicle and collect the toll.

Vehicle owners only need to open an HKeToll account, set up an automatic payment means (such as credit card, bank transfer or other electronic payment methods) and install a vehicle tag to the vehicle to use HKeToll.

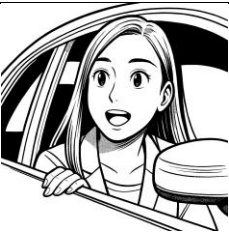
After the implementing of HKeToll, the toll booths of the relevant tunnels will be removed.

(Source: Transport Department, HKSAR Government)

Answers written in the margins will not be marked.

Please stick the barcode label here.

Source C: Some views on the Tai Lam Tunnel

 A commentator	Currently, there is spare capacity in the Tai Lam Tunnel and implementing the time-varying toll plan can help increase utilisation of the tunnel.
 A private car driver	Although Tuen Mun Road is often congested during peak hours, I still use it frequently because it is free! The toll for the Tai Lam Tunnel during peak hours is too high.
 A Yuen Long resident	Time and cost are important factors for me when deciding whether to take the bus or drive. After the implementation of the time-varying toll plan and HKeToll, it has become more convenient for me to drive to Kowloon. Although I will have to pay for petrol, I believe I will be driving more often.

- (a) Refer to Source A. Explain, under what condition the tunnel toll revenue would increase when the toll of the Tai Lam Tunnel is adjusted. (3 marks)
- (b) Refer to Source B. If all drivers who used to pay tunnel tolls in cash switch to using HKeToll, how would the equilibrium interest rate in Hong Kong be affected? Explain. (2 marks)
- (c) Refer to Source A and the view of the private car driver in Source C. Explain why the opportunity cost of using Tuen Mun Road during peak hours may not be necessarily lower than that using Tai Lam Tunnel. (3 marks)
- (d) With reference to the view of the Yuen Long resident in Source C, if more people switch from using public transport to driving private cars, how would Hong Kong's gross domestic product (GDP) be affected? Explain. (3 marks)

Answers written in the margins will not be marked.

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (e) Suppose there are two proposals to improve transport options for residents in the Northwest New Territories:

Proposal I	to construct a new trunk road connecting the urban area with the Northwest New Territories (as an alternative to Tuen Mun Road)
Proposal II	to provide fare subsidies for bus routes commuting between the Northwest New Territories and the urban area

With reference to the above sources and your own knowledge in Economics, discuss the effects of each proposal on the following variables in order to evaluate the two proposals.

- economic efficiency
- income distribution
- aggregate output

(14 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Answers written in the margins will not be marked.